

MGT301 Final term preparation

Updated Mcqs 2024

Theme 6 to 13

VU Nexus

Watch this video on yt with explanation

<https://youtu.be/uiuEgQbYffk?si=Neg2qBBSq-y3wGNk>

Join our WhatsApp Group

<https://chat.whatsapp.com/EWpVOif8ptH5vhcWTayA6s>

LMS Handling Services available at reasonable price:

- ◆ Complete semester
- ◆ Half semester
- ◆ Monthly
- ◆ Guarantee of Results
- ◆ Minimum Charges in Instalments

All subjects' activities included:

- Assignments
- Quiz's
- Gdb
- Lecture Attendance

Contact Us Personally

03439575046

03477776639

Theme # 6: Business Markets and Business Buyer Behavior

1. What is a business market?

- A) A market where products and services are sold directly to consumers.
- **B) A market where organizations sell products and services to other organizations.**
- C) A market limited to government institutions.
- D) A market exclusively for service providing companies.

2. Which of the following is a characteristic of business markets?

- A) They have more customers than consumer markets.
- B) They are less geographically concentrated than consumer markets.
- **C) They have fewer customers but generate higher revenue.**
- D) They rely on consumer demand for their products.

3. What is the primary focus of business buyer behavior?

- A) Understanding consumer preferences.
- B) Purchasing products for personal use.
- **C) Purchasing products for organizational use or resale.**
- D) Marketing products to individual consumers.

4. Which of the following best describes a straight rebuy?

- A) A new purchase requiring extensive research.
- **B) A routine purchase without modifications.**
- C) A purchase involving changes in product specifications.
- D) A purchase where the supplier is chosen for the first time.

5. In the business buying process, what is the first step?

- A) General need description
- **B) Problem recognition**
- C) Supplier search
- D) Proposal solicitation

6. **Who are the participants in the business buying process that have the formal authority to place the order?**

- A) Users
- B) Influencers
- **C) Buyers**
- D) Gatekeepers

7. **Which factor is NOT one of the key influences on business buying behavior?**

- A) Environmental factors
- B) Organizational factors
- C) Interpersonal factors
- **D) Social factors**

8. **What is a derived demand in business markets?**

- A) Demand for consumer goods.
- **B) Demand that depends on the demand for consumer goods.**
- C) Demand that originates from suppliers.
- D) Demand that is independent of consumer needs.

9. **What is the role of gatekeepers in the business buying process?**

- A) They use the product or service.
- B) They influence the purchase decision.
- C) They have the power to select or reject the vendor.

- **D) They control the flow of information within the organizations.**

10. **Which type of buying situation requires the most in-depth research?**

- A) Straight rebuy
- **B) New task**
- C) Modified rebuy
- D) Routine purchase

11. **What is a key characteristic of institutional markets?**

- A) They focus on individual consumer needs.
- **B) They have specific needs and requirements, often with limited budgets.**

- C) They involve complex buying processes with high risks.
- D) They do not interact with suppliers directly.

12. In which step of the business buying process do buyers describe the technical product specifications?

- A) General need description
- **B) Product specification**
- C) Supplier search
- D) Proposal solicitation

13. What is an important task in the performance review stage of the business buying process?

- **A) Analyzing the satisfaction level of users and supplier performance.**
- B) Preparing order routine specifications.
- C) Searching for new suppliers.
- D) Describing the general need.

14. Who in the business buying process are the initial users of the product?

- **A) Users**
- B) Influencers
- C) Buyers
- D) Deciders

15. Which of the following is an example of external stimuli that can trigger problem recognition in the business buying process?

- A) Internal company reports
- **B) A call from a supplier offering a better product**
- C) Employee feedback
- D) Company financial performance

Theme # 7: Customer Driven Marketing Strategy

1. What does segmentation refer to in market strategy?

- **A) Subdividing the market and grouping it according to needs.**
- B) Creating a unique product for every customer.

- C) Focusing on one large market segment.
 - D) Ignoring market differences.
2. Which of the following is a geographic variable used in market segmentation?
- A) Age
 - B) Gender
 - **C) Climate**
 - D) Lifestyle
3. Which variable is most commonly used for demographic segmentation?
- A) Lifestyle
 - B) Personality
 - **C) Age**
 - D) Usage rate
4. What type of variable is used for psychographic segmentation?
- A) Region
 - **B) Lifestyle**
 - C) Income
 - D) Usage rate
5. What is a key requirement for effective segmentation?
- A) All segments must be the same size.
 - **B) The segment size and purchasing power must be measurable.**
 - C) Segments must be identical.
 - D) There should be no differentiation between segments.
6. What is the process of evaluating each segment and selecting one or more to enter called?
- A) Segmentation
 - **B) Targeting**
 - C) Differentiation
 - D) Positioning
7. In market targeting, what should a company consider about a segment?

- A) Only the size
 - B) Only the growth rate
 - **C) Size, growth, and structural attractiveness**
 - D) Only the accessibility
8. What is undifferentiated/mass marketing?
- A) Tailoring products for each individual
 - B) Targeting multiple market segments
 - **C) Targeting the whole market with one offer**
 - D) Focusing on niche markets
9. What does differentiated/segmented marketing aim to do?
- A) Ignore market differences
 - B) Offer the same product to all segments
 - **C) Target several different market segments with different offers**
 - D) Focus on one segment only
10. What is the goal of concentrated/niche marketing?
- A) Target the entire market
 - **B) Focus on one specialized segment**
 - C) Tailor products to local markets
 - D) Offer undifferentiated products
11. What is positioning in marketing?
- A) Deciding the product price
 - B) Choosing the advertising medium
 - **C) The place a product occupies in the minds of consumers relative to competitors**
 - D) Selecting the distribution channel
12. Which type of differentiation focuses on unique product functions?
- A) Service differentiation
 - **B) Product differentiation**
 - C) Channel differentiation
 - D) Image differentiation

13. What is a value proposition that offers more benefits for a lower price?

- A) More for more
- B) More for the same
- **C) More for less**
- D) The same for less

14. Which of the following is NOT a requirement for differentiation?

- A) Importance
- B) Communicability
- **C) Simplicity**
- D) Profitability

15. What is the purpose of the performance review in the business buying process?

- A) To set new product specifications
- **B) To assess supplier performance and satisfaction**
- C) To negotiate new terms
- D) To select new suppliers

Theme # 8: Product, Brands & Services

1. What is the first level of a product that marketers need to consider?

- A) Actual Product
- **B) Core Customer Value**
- C) Augmented Product
- D) Product Mix

2. What is included in the augmented product level?

- A) Brand name and design
- B) Core benefit
- **C) Customer service and warranty**
- D) Quality and features

3. Which of the following is a type of consumer product?

- A) Industrial machinery

- **B) Convenience product**
 - C) Capital items
 - D) Raw materials
- 4. Shopping products require consumers to:
 - A) Buy frequently with minimal effort
 - **B) Compare based on quality, price, and style**
 - C) Make special purchase efforts
 - D) Avoid buying
- 5. Which concept is associated with products that consumers do not think of buying?
 - A) Specialty products
 - **B) Unsought products**
 - C) Shopping products
 - D) Convenience products
- 6. What type of product is used for business consumption?
 - A) Consumer product
 - **B) Industrial product**
 - C) Specialty product
 - D) Convenience product
- 7. Which industrial product category includes items like raw materials?
 - **A) Materials and parts**
 - B) Capital items
 - C) Supplies and services
 - D) Specialty products
- 8. Organizational marketing focuses on:
 - A) Promoting a specific product
 - **B) Creating a positive image of the company**
 - C) Targeting individual consumers
 - D) Promoting places
- 9. What is the main goal of social marketing?
 - A) Increase sales
 - **B) Improve individual and societal well-being**

- C) Promote tourism
- D) Enhance employee satisfaction

10. Which decision is part of individual product decisions?

- A) Product line length
- **B) Branding**
- C) Product mix width
- D) Market targeting

11. Line stretching involves:

- **A) Launching a new product in the same product line with additional features**
- B) Reducing the number of products in a line
- C) Discontinuing old products
- D) Increasing product prices

12. The depth of a product mix refers to:

- A) The number of product lines
- B) The sum of all products
- **C) The types of products within a line**
- D) The overall quality of products

13. What is brand sponsorship?

- A) Selecting a brand name
- B) Developing a new product
- **C) Collaborating with other brands for mutual benefits**
- D) Setting product prices

14. Which of the following is a characteristic of services?

- A) Tangibility
- **B) Inseparability**
- C) Durability
- D) Perishability

15. Internal marketing is aimed at:

- A) Customers
- B) Competitors
- **C) Employees**
- D) Suppliers

Theme # 9: Price and Pricing

1. **What is price in the context of marketing?**

- a) The cost of producing a product
- **b) The amount of money charged for a product or service**
- c) The total value of all marketing activities
- d) The perceived quality of a product

2. **Which of the following is true about price?**

- a) It represents a one-way flow of value.
- **b) It represents a two-way reciprocal flow of value.**
- c) It is unrelated to customer perception.
- d) It is the least important element of the marketing mix.

3. **What is the price ceiling?**

- a) The lowest price at which a product can be sold.
- b) The price set by the government.
- **c) The upper limit beyond which customers cannot afford the price.**
- d) The average market price for a product.

4. **What is the price floor?**

- **a) The minimum price for a product to remain profitable.**
- b) The highest price a customer is willing to pay.
- c) The price competitors are charging.
- d) The price set by market demand.

5. **Which of the following factors affect pricing?**

- a) Social concerns
- b) Government regulations
- c) Economic conditions
- **d) All of the above**

6. **What is value-based pricing?**

- a) Setting prices based on the cost of production.
- **b) Setting prices based on buyers' perceptions of value.**
- c) Setting prices based on competitors' prices.
- d) Setting prices based on market demand.

7. **In cost-based pricing, the price is set based on:**

- a) The perceived value to the customer.
- **b) The cost of producing, distributing, and selling the product.**
- c) The competitor's pricing strategies.
- d) The maximum price the market can bear.

8. **Which pricing method involves setting prices based on competitors' prices?**

- a) Value-based pricing
- **b) Competition-based pricing**
- c) Cost-based pricing
- d) Psychological pricing

9. **What is everyday low pricing?**

- a) A strategy of high initial prices.
- **b) A pricing approach where prices are consistently low.**
- c) A strategy of fluctuating prices.
- d) A high-price strategy for luxury items.

10. **What is market skimming pricing?**

- a) Setting a low initial price to penetrate the market.
- **b) Charging a high price at the launch of a product.**
- c) Adjusting prices based on geographic location.
- d) Bundling products at a reduced price.

11. **Which strategy involves setting a low initial price to attract customers?**

- **a) Market penetration pricing**
- b) Market skimming pricing
- c) Captive product pricing

- d) Psychological pricing

12. Which of the following is an example of psychological pricing?

- a) **Setting prices at Rs. 99.99 instead of Rs. 100**
- b) Offering discounts on bulk purchases
- c) Charging different prices in different regions
- d) Combining several products at a reduced price

13. What does dynamic pricing involve?

- a) Fixed pricing based on production costs
- b) **Flexible pricing that varies with market conditions**
- c) Uniform pricing across all markets
- d) Pricing based on a product's life cycle

14. What is by-product pricing?

- a) Setting high prices for complementary products
- b) Offering discounts on bundled products
- c) **Pricing for products with little or no value produced as a result of the main product**
- d) Setting prices for geographically segmented markets

15. What is captive product pricing?

- a) Setting low prices for the main product and high prices for accessories
- b) **Pricing products that cannot be used without a basic product**
- c) Offering products at the same price across all markets
- d) Setting high initial prices for innovative products

Theme # 10: Marketing Communication

1. **What is the definition of promotion in marketing?**
 - **A) Activity that encourages consumers to recognize your product or service and make a purchase**
 - B) Activity that reduces the cost of production
 - C) Strategy to increase supply chain efficiency
 - D) Activity that only includes personal selling

2. **Which of the following is NOT part of the promotion mix?**
 - A) Advertising
 - B) Public relations
 - C) Personal sales
 - **D) Product development**

3. **What is a primary goal of advertising in the promotion mix?**
 - A) To reduce production costs
 - **B) To promote sales by advertising the presence of goods or services to a large number of consumers**
 - C) To enhance product features
 - D) To improve supply chain logistics

4. **Which promotional strategy involves providing information or persuading customers about the performance of a product or service?**
 - **A) Sales promotion**
 - B) Public relations
 - C) Personal selling
 - D) Advertising

5. **What is a unique advantage of personal selling?**
 - A) It reaches a large audience quickly
 - **B) It allows immediate feedback from the customer**
 - C) It is the most cost-effective promotional tool
 - D) It requires minimal training for sales personnel

6. Which of the following best describes public relations?
- A) Paid advertising in various media
 - **B) Forming friendly relationships through interactive communication between organizations and the public**
 - C) Direct selling to consumers
 - D) Offering discounts and promotions
7. What is the main focus of content marketing in digital marketing?
- A) Highlighting product features
 - **B) Producing and distributing valuable, relevant content to attract and maintain a defined audience**
 - C) Increasing production efficiency
 - D) Reducing advertising costs
8. What does IMC stand for in marketing?
- A) Integrated Marketing Channels
 - **B) Integrated Marketing Communication**
 - C) International Marketing Collaboration
 - D) Interactive Marketing Campaigns
9. Which model describes the process by which consumers make decisions through four hierarchical steps: Attention, Interest, Desire, and Action?
- A) SWOT Analysis
 - **B) AIDA Model**
 - C) PEST Analysis
 - D) BCG Matrix
 -
10. Which method of advertising budget allocation involves setting a budget based on the short and long-term goals of advertising for a brand?
- A) Competitive parity method
 - B) Affordable budget method
 - **C) Objective and task method**
 - D) Percentage of sales method

Theme # 11: Place/Distribution

1. **Which element of the marketing mix ensures the effective and timely availability of a product to the customer?**
 - A) Product
 - **B) Placement**
 - C) Promotion
 - D) Price

2. **In a Value Delivery Network, which partners are associated with the supply side of the network?**
 - A) Downstream partners
 - **B) Upstream partners**
 - C) Retailers
 - D) Distributors

3. **What is the primary role of intermediaries in the marketing channel?**
 - A) Producing goods
 - **B) Delivering products to target markets**
 - C) Conducting market research
 - D) Setting prices

4. **Which of the following is NOT a type of Vertical Marketing System (VMS)?**
 - A) Corporate VMS
 - B) Contractual VMS
 - C) Administered VMS
 - **D) Horizontal VMS**

5. **In which type of marketing system do two or more companies at one level join to follow a new marketing opportunity?**
 - A) Corporate VMS
 - B) Administered VMS
 - **C) Horizontal Marketing System**
 - D) Contractual VMS

6. Which type of distribution strategy involves the usage of more than one, but fewer than all, intermediaries willing to carry a company's products?
- A) Intensive distribution
 - B) Exclusive distribution
 - **C) Selective distribution**
 - D) Limited distribution
7. What is the main goal of personal selling in the promotion mix?
- **A) To convince customers to buy a product through personalized communication**
 - B) To increase brand visibility through mass media
 - C) To provide information through print advertisements
 - D) To create content for social media marketing
8. Which method of advertising budget allocation involves setting a budget based on the short and long-term goals of the brand?
- A) Competitive parity method
 - B) Affordable budget method
 - **C) Objective and task method**
 - D) Percentage of sales method
9. In the AIDA model, what does the 'I' stand for?
- A) Intention
 - **B) Interest**
 - C) Information
 - D) Interaction
10. Which type of marketing is defined as collecting and exposing the impacts or changes that organizations generate in society and integrating social responsibility values?
- A) Direct marketing
 - B) Content marketing
 - C) Digital marketing
 - **D) Responsible marketing**

Theme # 12: Sustainable Marketing, Social Responsibility and Ethics

1. **What does sustainability generally mean in a business context?**
 - A) Maximizing profits using any means necessary
 - **B) Efficient use of natural resources to ensure availability for future generations**
 - C) Rapid expansion and market penetration
 - D) Increasing production without regard for resource consumption

2. **Which marketing concept is more future-oriented with respect to business needs?**
 - A) Societal marketing
 - **B) Sustainable marketing**
 - C) Strategic planning
 - D) Consumer-oriented marketing

3. **What is one criticism of marketing activities regarding their impact on individuals?**
 - **A) High prices and deceptive pricing strategies**
 - B) Promotion of social welfare
 - C) Improved quality of life
 - D) Lower costs of products

4. **What term describes the movement aimed at protecting buyers' rights?**
 - A) Environmentalism
 - **B) Consumerism**
 - C) Sustainable marketing
 - D) Strategic planning

5. **Which of the following is an action associated with environmentalism?**
 - A) High-pressure selling
 - **B) Product stewardship**
 - C) Planned obsolescence
 - D) False advertising

6. **What is the primary focus of customer value marketing?**
 - A) Maximizing short-term profits
 - B) Developing new markets

- **C) Spending resources on value-building activities for customers**
 - D) Reducing marketing budgets
7. **Which type of product provides immediate satisfaction but may be harmful in the long run?**
- A) Deficient products
 - B) Salutory products
 - **C) Pleasing products**
 - D) Desirable products
8. **What does the principle of "not to harm" imply in marketing ethics?**
- A) Focusing on profit maximization
 - **B) Avoiding harmful activities and adhering to relevant laws and guidelines**
 - C) Aggressive marketing and sales tactics
 - D) Deceptive pricing strategies
9. **What is the goal of sense-of-mission marketing?**
- A) Maximizing short-term sales
 - **B) Defining the company's mission in a broad social context**
 - C) Reducing production costs
 - D) Increasing advertising frequency
10. **What is an example of a desirable product?**
- A) Products with no immediate charm or long-run benefits
 - B) Products that have little direct appeal but may benefit the customer in the future
 - **C) Products that provide immediate satisfaction and have long-term benefits**
 - D) Products that provide immediate satisfaction but may be harmful in the long run

Theme # 13: Digital Marketing

1. **Question:** What is one of the primary advantages of digital marketing over conventional marketing?
- A) Higher cost
 - B) Limited reach
 - C) Global audience
 - D) Static engagement

Answer: C) Global audience

2. **Question:** Which digital marketing technique involves using graphical ads on web pages to target specific audiences?
- A) SEO
 - B) PPC
 - C) DDA
 - D) SMM

Answer: C) DDA (Digital Display Advertising)

3. **Question:** Which platform revolutionized digital marketing with its launch in 1998?
- A) LinkedIn
 - B) MySpace
 - C) Facebook
 - D) YouTube

Answer: C) Facebook

4. **Question:** What does SEO stand for in digital marketing?
- A) Social Engagement Optimization
 - B) Search Engine Optimization
 - C) Search Engine Outreach
 - D) Social Engine Optimization

Answer: B) Search Engine Optimization

5. **Question:** Which digital marketing technique involves advertisers paying a fee each time their ad is clicked?
- A) SMM
 - B) DDA
 - C) SEO
 - D) PPC

Answer: D) PPC (Pay-per-Click advertising)

6. **Question:** What is a key benefit of content marketing?

- A) Immediate sales
- B) Direct mail engagement
- C) Brand building and customer education
- D) Offline interaction

Answer: C) Brand building and customer education

7. **Question:** When was the first clickable ad run on the internet?

- A) 1990
- B) 1993
- C) 1998
- D) 2002

Answer: B) 1993

8. **Question:** Which digital marketing technique allows businesses to interact directly with customers through social platforms like Twitter and Facebook?

- A) DDA
- B) PPC
- C) SMM
- D) SEO

Answer: C) SMM (Social Media Marketing)

9. **Question:** What technological advancement contributed significantly to the expansion of digital marketing?

- A) Launch of radio channels
- B) Emergence of television ads
- C) Development of the internet
- D) Introduction of billboards

Answer: C) Development of the internet

10. **Question:** What type of marketing uses GPS to send promotional messages based on the location of mobile users?

- A) Mobile Marketing
- B) Content Marketing
- C) Search Marketing
- D) Social Media Marketing

Answer: A) Mobile Marketing